

SENATE No. 950

The Commonwealth of Massachusetts

PRESENTED BY:

Pavel M. Payano

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to advance fairness, integrity, and excellence in higher education admissions.

PETITION OF:

NAME:

Pavel M. Payano

DISTRICT/ADDRESS:

First Essex

SENATE No. 950

By Mr. Payano, a petition (accompanied by bill, Senate, No. 950) of Pavel M. Payano for legislation to require higher education institutions to issue an annual report to the attorney general and department of higher education on their prior year admissions preference. Higher Education.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to advance fairness, integrity, and excellence in higher education admissions.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 15A of the General Laws is hereby amended by inserting after
2 section 5A the following section:-

3 Section 5B. (a) For the purposes of this section, the following terms shall, unless the
4 context clearly requires otherwise, have the following meanings:

5 “Early action”, an admissions plan that allows a student to apply at an earlier stage of the
6 admissions process and receive an expedited admissions decision but does not require the student
7 to pledge to attend the institution upon receiving a decision of admittance.

8 “Early decision”, an admissions plan that allows a student to apply at an earlier stage of
9 the admissions process, receive an expedited admissions decision, and absent extenuating
10 circumstances, requires the student to pledge to attend the institution upon receiving a decision
11 of admittance.

“Endowment”, a fund or collection of funds that supports the operation of a higher education institution, and that is not wholly expendable by the institution on a current basis under the terms of the applicable gift instrument or as per the intent of the donor, trustee or board of directors of the higher education institution or related foundation.

“Higher education institution”, a public or private certificate- or degree-granting college, junior college or university, as authorized by the board of higher education pursuant to section 9.

“Legacy”, a candidate for admission to a higher education institution with a relative who attended or attends that higher education institution.

(b) Annually, not later than December 31, all 4-year, degree-granting higher education institutions shall transmit to the office of the attorney general and the department of higher education the following information annually:

(i) an averment as to whether the institution executed in the prior year an admissions preference or special policy for: (1) legacy applicants; (2) students related to any past, current or prospective donor; (3) students who apply early decision; and (4) students who apply early action;

(ii) the percentage of first year, full-time students enrolled at the higher education institution in the previous academic year who are members of the following separately disaggregated subgroups:

(1) students that receive a maximum federal Pell Grant;

(2) students that receive a less than maximum federal Pell Grant;

(3) students that receive a federal subsidized Stafford Loan but not a federal Pell Grant;

(4) students who are a legacy, with separate disaggregated reporting within by major racial subgroup, receipt of a maximum federal Pell Grant and receipt of a less than maximum federal Pell Grant;

(5) students admitted as per an early decision policy, with separate disaggregated reporting within by major racial subgroup, receipt of a maximum federal Pell Grant and receipt of a less than maximum federal Pell Grant;

(6) students admitted as per an early action policy, with separate disaggregated reporting within by major racial subgroup, receipt of a maximum federal Pell Grant and receipt of a less than maximum federal Pell Grant; and

(7) students admitted to the institution through regular decision, with separate disaggregated reporting within by major racial subgroup, receipt of a maximum federal Pell Grant and receipt of a less than maximum federal Pell Grant;

(iii) the number of student applicants identified as having legacy status and their admission rate, as well as the percentage of admitted legacy students among all admitted students, and their enrollment rate;

(iv) the number of student applicants who apply early decision and early action, and admission rate of each; and

(v) public service fee amounts contributed by each higher education institution per annum to the Higher Education Opportunity Trust Fund, established in section 35TTT of chapter 10.

(c) The office of the attorney general and the department of higher education shall make the information received pursuant to subsection (b) publicly available, disaggregated by higher education institution.

(d) No higher education institution shall as a matter of written or unwritten policy, absent paying a public service fee in an amount consistent with the provisions of subsection (e):

(i) consider legacy status as a factor in admitting a student applicant;

(ii) consider a student applicant's relationship to a past, current or prospective donor to the higher education institution as a factor in admitting a student applicant; or

(iii) carry out an early decision plan.

(e) (1) A higher education institution that violates a provision of this section shall pay a public service fee to the Trust established in section 2 of a sum calculated according to the following schedule:

(i) 0.01 per cent of its endowment for any offending higher education institution with an endowment per student of less than \$50,000, as reported in the higher education institution's most recent annual report;

(ii) 0.05 per cent of its endowment for any offending higher education institution with an endowment per student of greater than \$50,000 but less than \$500,000, as reported in the higher education institution's most recent annual report;

(iii) 0.1 per cent of its endowment for any offending higher education institution with an endowment per student of greater than \$500,000 but less than \$1,000,000, as reported in the higher education institution's most recent annual report;

(iv) 0.15 per cent of its endowment for any offending higher education institution with an endowment per student of greater than \$1,000,000 but less than \$2,000,000, as reported in the higher education institution's most recent annual report;

(v) 0.2 per cent of endowment for any offending higher education institution with an endowment per student of greater than \$2,000,000, as reported in the higher education institution's most recent annual report.

(2) No offending higher education institution with endowment assets in excess of \$1.5 billion shall pay a public service fee of less than \$1 million. No college with endowment assets in excess of \$2 billion shall pay a public service fee of less than \$2 million.

(3) Where a higher education institution is part of a university, the calculations required by paragraph (1) shall be based on the endowment of the university and associated endowment funds.

(f) (1) The attorney general shall establish procedures and promulgate regulations to carry out the provisions of this section. The attorney general may investigate compliance by individual higher education institutions and assess public service fee amounts for non-compliance in accordance with subsection (e).

(2) The attorney general shall provide written notice to any higher education institution that fails to timely comply with the established reporting requirements of subsection (b). The attorney general shall notify higher education institutions that failure to respond within 2 weeks of the written notice without just cause may result in the assessment of the public service fee in subsection (e).

(3) No higher education institution shall pay a public service fee in excess of the applicable amount in the schedule in subsection (e) in any 1 calendar year.

(4) All monies collected pursuant to this section shall be deposited in the Higher Educational Opportunity Trust Fund, established in section 35TTT of chapter 10.

SECTION 2. Chapter 10 of the General Laws is hereby amended by inserting after section 35SSS the following section:-

Section 35TTT. (a) There shall be established and set up on the books of the commonwealth a Higher Education Opportunity Trust Fund, for the purposes of supporting certificate and degree attainment at the commonwealth's public community college segment and state university segment of the system of public institutions of higher education, as defined in section 5 of chapter 15A. The fund shall be administered by the executive office of education, as directed by the fund board of trustees established in subsection (b) and in consultation with the department of higher education. No expenditure from the fund shall cause the fund to be in deficiency at the close of a fiscal year. Monies not expended at the end of each fiscal year shall remain in the fund and shall not revert to the General Fund. The fund shall not be subject to appropriation.

(b) The fund shall be managed by a board of trustees, which shall have general supervision of the trust and shall direct all expenditures from the fund to the community college and state university segments within the commonwealth system of public institutions of higher education, as defined in section 5 of chapter 15A, in its discretion. The full duties and obligations of the board shall be set forth in a declaration of trust to be adopted by the board. The board of trustees shall consist of 7 voting trustees, including: (i) the commissioner of the department of

higher education or a designee; (ii) the commissioner of the department of elementary and secondary education or a designee, and (iii) 5 additional voting trustees to be appointed by the governor, including: 1 person with demonstrated expertise in elementary and secondary education, 1 person with demonstrated expertise in higher education, 1 person with demonstrated expertise in representing the education workforce as a leader in a labor organization, 1 person who is an employee of a Massachusetts community college, as defined in section 10 of chapter 15A, and 1 person who is an employee of a private higher education institution subject to subsection (e) of section 5B of chapter 15A. The appointed voting trustees shall serve for terms of 2 years. Trustees shall be eligible for reappointment. The voting trustees shall elect 1 of the trustees to serve as the chair. There shall be 6 non-voting trustees, 2 of whom shall be appointed by the senate president, 1 of whom shall be appointed by the minority leader of the senate, 2 of whom shall be appointed by the speaker of the house of representatives and 1 of whom shall be appointed by the minority leader of the house of representatives.

SECTION 3. This act shall take effect on July 1, 2026.